

If the extra cash, reinvested internally, can produce an above-average return on equity, a return that is higher than the cost of capital, then the company should retain all of its earnings and reinvest them. That is the only logical course. Retaining earnings in order to reinvest in the company at less than the average cost of capital is completely irrational. It is also quite common.

A company that provides average or below-average investment returns but generates cash in excess of its needs has three options: (1) It can ignore the problem and continue to reinvest at below-average rates, (2) it can buy growth, or (3) it can return the money to shareholders. It is at this crossroads that Buffett keenly focuses on management's decisions, for it is here that management will behave rationally or irrationally.

Generally, managers who continue to reinvest despite below-average returns do so in the belief that the situation is temporary. They are convinced that with managerial prowess, they can improve their company's profitability. Shareholders become mesmerized with management's forecast of improvements. If a company continually ignores this problem, cash will become an increasingly idle resource and the stock price will decline.

A company with poor economic returns, excess cash, and a low stock price will attract corporate raiders, which is the beginning of the end of current management tenure. To protect themselves, executives frequently choose the second option instead: purchasing growth by acquiring another company.

Announcing acquisition plans has the effect of exciting shareholders and dissuading corporate raiders. However, Buffett is skeptical of companies that need to buy growth. For one thing, growth often comes at an overvalued price. For another, a company that must integrate and manage a new business is apt to make mistakes that could be costly to shareholders.

In Buffett's mind, the only reasonable and responsible course for companies that have a growing pile of cash that cannot be reinvested at above-average rates is to return that money to the shareholders. For that, two methods are available: (1) initiating or raising a dividend and (2) buying back shares.

With cash in hand from their dividends, shareholders have the opportunity to look elsewhere for higher returns. On the surface, this seems like a good